

the first crack.

What happened to LIBOR liquidity after that point?

It went straight down. The LIBOR–OIS spread started to widen.

What is the OIS?

The OIS is the overnight index swap, which is a weighted average of overnight lending rates. The LIBOR-OIS spread reflects the illiquidity premium. If you lend money for 90 days, you demand a premium because you can't get it right back. If I lend you cash for 90 days, I want to be paid more than if I lend it to you overnight. I could lend you money overnight for 90 days, but I have the option to break it at any time. If I give up my option to break the loan, I want to be compensated. The market price for the option to break—that is the LIBOR-OIS spread—used to be almost nothing because people were so confident. Then suddenly, when liquidity dried up, the option to break was worth 200 basis points, and then more than 300 basis points. In fact, you couldn't even get 90-day money at the end.

Anyway, when this crack appeared in the market, I knew I didn't want to have equity exposure. So during the next six weeks, we liquidated the entire \$9 billion of exposure. The strategy was shut, and the money was sent back to investors. We watched the markets very carefully, and in early 2008, I transferred a vast proportion of the firm's money into two-year treasury notes. I got rid of all the money market funds. I put all the traders into a wind down of counterparty exposure. We dumped outright exposure to every bank possible and went maximum long fixed income. The systematic trend-following strategy was consistently moving into a similar position. It started reversing from long to short in equities and commodities and going hugely long in fixed income. Again, it was all the same trade, wasn't it?

So when the market meltdown hit later in 2008, you were positioned perfectly.

In 2008, BlueCrest made the most amount of money for its investors in its history up to that point. Even though we were making loads of money, many of our investors redeemed simply because they couldn't get their